reducing my exposure. I am much more sensitive and conscious about how I am feeling. If a position doesn't feel right, I will make the shift. I can't sit with that feeling very long anymore.

What is a recent example of when you had that type of feeling that something was wrong?

October [2010]. The markets were starting to accelerate up, and I was losing a lot of money. Even though the market had been going up for a year and a half, it shifted into a higher gear. I didn't like the way the market felt.

You sound like you are a natural short.

I am a natural short because there is a hype, a marketing campaign that is always at work to get people to be long stock, and it's unnatural. It's an energy that can't always be maintained.

The trading approach you have described—a strategy of selling stocks when they are up and buying stocks when they are down—hardly sounds like a recipe for success. In fact, it is easy to imagine how the approach could be disastrous. So obviously there is more to what you are doing. Can you put some color on it? How do you do what you do? Can you provide some specific examples of how you pick and time your trades?

I divide stocks into those that I'm looking to buy and those that I'm looking to sell. Then I recognize when those buys or sells show up in a way that suggests there is a possibility for an accelerated move in a short period of time.

How do you recognize that point?

Something changes. The chart could change. Something could happen within the group. There is something always changing, where clues are given to me along the way, that shows me it's time. For example, Goodyear was one of the stocks on my buy list. The other auto parts stocks had broken out a while ago, but Goodyear was lagging. We had been watching it for a long time. Then about two weeks ago, there was a day before the earnings report when the volume was huge and the price was picking up. I said, "I think this is our spot. Goodyear is ready." I had